

VIRTUAL GALAXY FINTECH PRIVATE LIMITED

INDEPENDENT AUDITOR'S REPORT

To,

The Members of VIRTUAL GALAXY FINTECH PRIVATE LIMITED

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Virtual Galaxy Fintech Private Limited** ("the Company"), which comprise the balance sheet as at 31st March 2022 and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as 'the Financial Statements')

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (India Accounting Standards) Rule, 2015, as amended (Ind-As) and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2022 and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.



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Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexure to Board's Report, Business Responsibility Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the



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financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



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- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledge user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work and in evaluating the results of or works and to evaluate the effect of the any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



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Report on Other Legal and Regulatory Requirements

- 1 As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, is not applicable to the company. Since it satisfies all the conditions in the above order, we are not reporting the matters specified in the paragraphs 3 and 4 of the order.
- 2 As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - (c) The Balance Sheet and the Cash Flow Statement dealt with by this Report are in agreement with the books of account
 - (d) In our opinion, the aforesaid Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - (e) On the basis of the written representations received from the directors as on 31st March, 2022 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2022 from being appointed as a director in terms of Section 164 (2) of the Act.
 - (f) Since the Company's turnover as per last audited financial statements is less than Rs.50 Crores and its borrowings from banks and financial institutions at any time during the year is less than Rs.25 Crores, the Company is exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the



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company and the operating effectiveness of such controls vide notification dated June 13, 2017; and

- (g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
- i. The Company did not have any pending litigation on its financial position in its financial statements.
 - ii. The Company did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company

**FOR AND ON BEHELF OF
R D S & ASSOCIATES
CHARTERED ACCOUNTANTS**
Firm Registration No.138978W



Nagpur

Date : 12/09/2022


**CA. R. D. SONULE
PROPRIETOR**

M. NO. : 156133

UDIN:22156133BCSOIU1135

VIRTUAL GALAXY FINTECH PRIVATE LIMITED

BALANCE SHEET AS ON 31ST MARCH 2022

PARTICULARS		Note No.	(Amt.in '000) 31-03-2022
I.	<u>EQUITY AND LIABILITIES :</u>		
1	<u>SHAREHOLDERS' FUNDS</u>		
	Share Capital	2.1	100
	Reserves and surplus	2.2	0
	Sub-total		
2	Share Application Money Pending Allotement	2.3	0
3	NON-CURRENT LIABILITIES		
	Long-Term Liabilities		0
	Other Long-Term Liabilities		0
4	CURRENT LIABILITIES		
	Short-term borrowings		0
	Trade Payable		0
	Other Current Liabilities		0
	Short-term Provisions		0
	Sub-total		0
	TOTAL EQUITIES AND LIABILITIES		100
II.	<u>ASSETS:</u>		
1	NON-CURRENT ASSETS		
	Fixed assets		
	Tangible Assets		0
2	CURRENT ASSETS		
	Current Investments		0
	Inventories		0
	Trade Receivables		0
	Cash and cash equivalents	2.4	88
	Short-term Loans and Advances		12
	Other Current Assets		0
	Sub-total		100
	TOTAL ASSETS		100

Notes on financial statements (Refer note-2)

FOR AND ON BEHALF OF VIRTUAL GALAXY FINTECH PRIVATE LIMITED


DIRECTOR
Avinash Shende


DIRECTOR
Sachin Pande

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 12/09/2022



FOR AND ON BEHALF OF
R D S & ASSOCIATES
Chartered Accountants
Firm Registration No. 138978W

CA. R. D. SONULE
PROPRIETOR
M.NO.156133
UDIN: 22156133BCSOIU1135

VIRTUAL GALAXY FINTECH PRIVATE LIMITED

CASH FLOW STATEMENT

S.No.	Particulars	Note No.	31-03-2022
	CASH FLOW FROM OPERATING ACTIVITIES:		
1	Net Profit before tax as per statement of Profit and Loss Add/(less):		0
	Depreciation, amortisation and impairment		0
	Interest Income		0
	Dividend Income		0
2	Operating profit before changes in working capital		0
	(Increase)/Decrease in trade receivables		0
	(Increase)/Decrease in Inventories		0
	(Increase)/Decrease in loans and advances		-12
	(Increase)/Decrease in Other current Assets		0
	(Increase)/Decrease in other non-current Assets		0
	Increase/(Decrease) in Trade payables		0
	Increase/(Decrease) in provisions		0
	Increase/ (Decrease) in other current Liabilities		0
	Increase/(Decrease) in long term liabilities		0
	Increase/(Decrease) in other long term liabilities		0
	Increase/(Decrease) in Short term borrowings		0
3	Cash Generated from operations		-12
	Taxes paid		0
4	Net cash from operating activities (A)		-12
5	Cash flow from investing activities		
	Purchase of tangible & Intangible fixed assets		0
	Purchase of Long Term Investments		0
	sales of tangible fixed assets		0
	Sales of long-term investments		0
	interest and dividend received		0
6	Net cash from investing activities (B)		0
7	Cash flows from financing activities		
	Proceeds from Share application money		100
	Dividend paid		0
8	Net cash from financing activities (C)		100
9	Net increase /Decrease in cash and cash equivalents		
	(A+ B+C)		88
	opening balance of cash and cash equivalents		0
	Closing Balance of cash and cash equivalents		88

FOR AND ON BEHALF OF VIRTUAL GALAXY FINTECH PRIVATE LIMITED


DIRECTOR
Avinash Shende


DIRECTOR
Sachin Pande

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 12/09/2022



FOR AND ON BEHALF OF
R D S & ASSOCIATES
Chartered Accountants
Firm Registration No. 138978W


CA. R. D. SONULE
PROPRIETOR
M.NO.156133
UDIN: 22156133BCSQIU1135

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Note 2: Notes on accounts as per revised schedule VI

SHARE HOLDERS FUND

The Company has only one class of shares, referred to as equity shares having a par value of Rs. 10/- per share. Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.1 SHARE CAPITAL

A. PARTICULARS	Number	31-03-2022
AUTHORISED CAPITAL :		
50,000 Equity Shares of Rs. 10/- each	50,000	5,00,000
ISSUED, SUBSCRIBED & PAID UP CAPITAL :		
10,000 Equity Shares of Rs. 10/- each fully paid	10,000	100
		100

B Details of Share Holding of more than 5% shares are set out below

Particulars	31-03-2022	
Name of shareholder	No. of share held	% of share holding
1. Avinash Shende	5,000	50.00%
2. Sachin Pande	5,000	50.00%

2.2 RESERVES AND SURPLUS

Particulars	31-03-2022
<u>Surplus in the statement of profit and loss</u>	
Opening Balance	0
Less: Bonus shares issued	0
Add: Profit for the year	0
Less: Transfer to reserve, if any	0
Closing Balance	0
Total	0

2.3 SHARE APPLICATION MONEY PENDING ALLOTMENT

PARTICULARS	31-03-2022
1. Avinash Shende	0
2. Sachin Pande	0
Total	0



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2.4 CASH AND CASH EQUIVALENTS:

Particulars	31-03-2022
Cash in Hand	80
Cash with Bank	
ICICI Bank A/c	8
Total	88

2.5 DISCLOSURE UNDER MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

The company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under Micro, Small and Medium Enterprises Act, 2006.

2.6 PAYMENT TO AUDITORS

Particulars	31-03-2022
Statutory Audit	0
Total	0

2.7 AMOUNT IN THE FINANCIAL STATEMENTS

Amounts in the financial statements are rounded off to rupees in thousands.

2.8 CONFIRMATION OF BALANCES

The Company has not generally called for confirmation from trade payables, trade receivables, unsecured loans, loans and advances, deposit from parties/deposit with the parties etc.

Management has however, confirmed that these accounts are scrutinised and that these are current and are recoverable and payables.

2.9 RELATED PARTY TRANSACTION

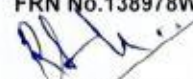
There was no related party transaction during the financial year.

2.10 PREVIOUS YEARS FIGURE

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.



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BALANCE SHEET ABSTRACT AND THE COMPANY'S GENERAL BUSINESS PROFILE		
I	Registration Details	
	Registration/CIN	193151
	State code	11
	Balance sheet date	31-03-2022
II	Capital raised during the year	
	Public/fresh	NIL
	Right issue	NIL
	Bonus issue	NIL
	Private placement	NIL
III	Position of mobilisation and deployment of funds	
	Equities and liabilities	100
	Assets	100
	Sources of funds	
	Share capital	100
	Reserves and surplus	0
	Long term liabilities	0
	Trade payables	0
	Other current liabilities	0
	short term provisions	0
	Application of funds	
	Net fixed assets	0
	Long term loans and advances	0
	Current investments	0
	Inventories	0
	Trade receivables	0
	Cash and cash equivalents	88
	Short term loans and advances	12
IV	Performance of the Company	
	Turnover and other income	0
	Total expenditure	0
	Profit before tax	0
	Net earning per share	0
V	Generic names of principle products/service,of the Company	
	Product description :: FINTECH SERVICES, INFORMATION TECHNOLOGY PRODUCTS AND RELATED SERVICES	
For and on behalf of VIRTUAL GALAXY FINTECH PRIVATE LIMITED		
 DIRECTOR Avinash Shende  DIRECTOR Sachin Pande		
AS PER OUR REPORT OF EVEN DATE ATTACHED.		
 For and on behalf of R D S & ASSOCIATES Chartered accountants FRN No.138978W  CA. R. D. SONULE PROPRIETOR M.NO.156133		
Nagpur Dated: 12/09/2022		

VIRTUAL GALAXY FINTECH PRIVATE LIMITED

SIGNIFICANT ACCOUNTING POLICIES:

NOTE I: Accounting policies adopted by the Company

Basis of preparation of financial statements

These financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on accrual basis except for certain financial instrument which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed under section 133 of the Companies Act 2013 (the Act) read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act(to extent notified). Accounting polices have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Use of Estimates

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. All asset and liabilities have been classified as current or non current as per the company's normal operating cycle and other criteria set out in Schedule III to the Companies Act, 2013. Accounting estimates could change from period to period. Actual results could differ from these estimates.

The following significant accounting policies are adopted in the preparation of these financial statements:

1. Statement of Profit & Loss

As the operation of company is not started yet, the management has not prepared the Statement of Profit & Loss Account for the period 01/04/2021 to 31/03/2022.

2. The financial statements are prepared for the period from the date of incorporation of the Company till the ended of financial year 2022 (12.02.2021 to 31.03.2022), since these are the first financial statements of the Company.

